

M/S Madhu Roller Flour Mills Pvt Ltd v. Dakshinanchal Vidyut Vitran Nigam Ltd

High Court of Judicature at Allahabad · Division Bench · 26 October 2010 · Writ - C No. 13369 of 2008 · **4.20(1) read down; security interest at s.47(4) bank rate**

HEADNOTE

Clause 4.20(1) of the U.P. Electricity Supply Code, 2005, which credited 3% interest on consumer security, is sub-delegated legislation and must conform to Section 47(4) of the Electricity Act, 2003. The Division Bench declined to strike the clause down and instead read it down: for the period it operated, interest is payable at the bank rate or more as specified by the State Commission. Section 47(4) came into force on 10 June 2003.

FACTUAL SUMMARY

Industrial consumers of Dakshinanchal Vidyut Vitran Nigam Ltd challenged clause 4.20(1) of the U.P. Electricity Supply Code, 2005, which provided that the licensee would pay interest at 3% per annum, or as approved, by credit in April–June bills. They said the clause conflicted with Section 47(4) of the Electricity Act, 2003, under which the distribution licensee must pay interest on security at the bank rate or more as specified by the State Commission. Counsel for the licensee was heard.

REUSABLE CONSTRUCTIONS

1. Clause 4.20(1)'s 3% interest on consumer security is sub-delegated legislation and is read down to conform to section 47(4): interest is payable at the bank rate or more as specified by the State Commission. ¶ 1
2. Section 47(4) came into force on 10 June 2003; that statutory rate governs for the period Clause 4.20(1) operated. ¶ 1

HOLDING-UNITS

INTERPLAY · UP-2005::4.20

interest on security deposit — 3% vs bank rate

HOLDING

Instead of holding clause 4.20(1)/(i) ultra vires, the Court read it down in light of Section 47(4) of the Electricity Act, 2003: while that sub-clause was in operation, the licensee must pay interest on security as provided in s.47(4) (bank rate or more as specified by the State Commission). The Supply Code is sub-delegated legislation and must conform to the Act. Section 47(4) came into force on 10 June 2003. Writ disposed of with that direction. ¶ 1

PRINCIPLE TAGS

s47-4-interest-on-security-at-bank-rate-from-enactment 4.20(1)'s 3% credit is read down; interest on security is payable at the s.47(4) bank rate or more from 10 June 2003, for the period the sub-clause operated. ¶ 1